EURONEXT NV EUXTF

June 29, 2026 - 10:47am EST
by afgtt2008

			2026	2027
Price:	141.00	EPS	8.11	8.83
Shares Out. (in M):	104	P/E	17.4	16
Market Cap (in $M):	14,641	P/FCF	0	0
Net Debt (in $M):	0	EBIT	0	0
TEV (in $M):	0	TEV/EBIT	0	0

Description

Idea

Euronext has changed from a regional, cash equity focused business to a pan-European market infrastructure platform over the last decade. After 10yr years of heavy investment in technology and strategic M&A, it has a platform to grow outside its core markets into new geographies, asset classes and business lines.

It is taking market share in fixed income, power derivatives, new IPO listings and post-trade and also positioning to be number one in retail trading if the market develops, with new innovations of equity, options and fixed income products.

It is also benefiting from positive industry changes (EU capital markets harmonization, increased debt issuance in EU, rapid expansion in EU power markets, growing retail participation in EU capital markets, regulatory support for national exchange consolidation) that should act as a tailwind to internal organic growth initiatives.

Growth in cash equities is a call option - Euronext has diversified away from cash equities over the last decade (19% of revenue vs. 36% at IPO). We assume it stays flat, but could surprise to the upside if some of $9tln in US equities held by European investors comes back, or the EU succeeds in moving some of the EUR10tln in household savings into the EU equity market. Any growth in cash equities upside to earnings growth. Sustained growth should also drive a re-rating. At 17.5x FCF, ENX is at a discount to the group because of the perceived high exposure to European cash equities. If this perception changes, it has room to re-rate towards the higher end of the group i.e. 22-24x for the US exchanges and 20x for Deutsche Boerse.

Euronext is on track to earn $850m in FCF in 2026 and should grow that by 7-8% p.a from now to 2030 assuming management hits the low end of its '5%+' organic growth guide. Including dividend (2% yield) and buybacks the return is ~12.5%. Our idea is that it can do better than 5% organic growth when we look at all the growth initiatives under way inside the company.

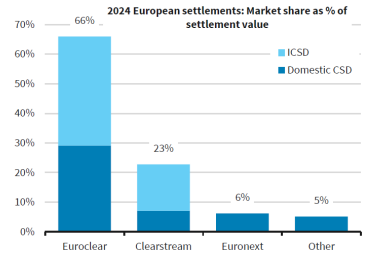
The table below shows all the ways Euronext can grow 5% p.a. without cash equities:

Organic build-up - ex cash equities	2025
Total ENX Revenue FY25	**1,823**
% growth p.a - 2026-2031	5%
Incremental revenue growth,EURmln	**504**
Ways to get there:	
Securities Services (aka post-trade)	
Post-trade revenue FY25	331
Annual price growth in existing Assets Under Custody	3.5%
Revenue from recurring fee on current AuC	62
Incremental **custody** opportunity from Paris, Amsterdam and Brussels (ESES)- EURml	225
Incremental **settlement** opportunityfrom Paris, Amsterdam and Brussels (ESES)- EUR	135
Additional domestic CSDs ex ESES - Assets under Custody ($bln)	30000
Incremental TAM from CSDs ex-ESES - EURmln	1221
Capital markets/data solutions	
Primary revenue	187
historic CAGR	15%
2026 IPO pipeline	160
Potential fees from IPOs	320.0
Other captial markets and data solutions	482.0
est growth (includes co-lo growing DD, corporate solutions growing HSD)	**6%**
Incremental revenue from CM&DS	163
FICC segment revenue	**197**
FI revenue FY25	197
FI T&C growth rate - consensus	7%
Incremental revenue from FI (T&C)	79
Incremental gains from MTS Paris - call option	250
Commodities T&C	113
Commodities T&C growth rate - consensus	10%
Incremental revenue	69

Growth drivers ex cash equities:

1. **Securities Services/Post-trade expansion –** In Sept 2026 Euronext Securities will become the default Central Security Depository (CSD) for the Paris, Brussels and Amsterdam exchanges. Today, Euroclear is the default CSD for these markets and Euronext is directly targeting that market share. Their value proposition is very straightforward – access to trading, clearing and settlement on a single unified platform, built on modern technology with better pricing**. Settlement** will default to Euronext so that revenue from the incremental settlement instructions should move easily over time **(approx. ~EUR130mln TAM). Custody will be harder, but has a bigger TAM (~EUR280mln) and greater network effects (cross-selling etc.).** The main hurdle to winning custody business is inertia (getting custodians to switch), but ENX is taking a two-pronged approach – targeting global custodians with competitive rates and other incentives, and targeting issuers with the promise of lower transaction costs, better liquidity and a simplified listing experience harmonized across 8 markets.
   Once it integrates the Euroclear markets (called ESES – Euroclear Services for Euronext Securities), the plan is to extend the CSD expansion to all European markets. The total custody TAM here is ~$30tln excluding the ICSDs. Euronext has strong regulatory support to consolidate the 27 regional CSDs but management thinks it can take share from them organically since most haven't invested in technology in 20yrs. **Total revenue TAM ex. ESES is >EUR1.2bln.**

FIGURE 4. **Despite the dominance of ICSDs, there is scope for ENX share gains if it can execute on its lower-cost, domestic CSD alternative**



Source: European Central Securities Depositories Association (ECSDA), Barcla Research

- **Fixed income growth –** Euronext did EUR~190mln in FI trading and clearing revenue in FY25 and is projected to grow anywhere between 7%-10% through the end of the decade. This growth is coming from a combination of industry tailwinds like increased European debt issuance and increased electronification of bond trading to new products like its Dealer to Client Bondvision platform, MTS repo clearing launch and share gains in fixed income deriviatives. The DTC platform has been very successful to date, going from 0 in 2024 to 10% market share in under 18mths. TradeWeb and Bloomberg are the incumbents and though neither disclose it directly, analysts estimate TW's revenue from credit **DTC trading was ~EUR200mln** today and growing, so share gains here could accelerate growth.
- There is a pure call option in FI that the **French government** changes how it does primary issuance and decides to copy the Italian government and do it electronically on MTS instead of OTC. This is **a potential ~EUR250mln revenue tailwind** that Euronext management says is a possibility but not in any numbers because they don't know when it will happen.
- **Commodities/Power** – This business is growing at a high-teens/low 20s CAGR off a small base. A key driver of future growth is the migration of Nordpool power futures onto Euronext's in-house platform for trading and clearing (cash settled so no CSD opportunity). Nordpool is market leader in physical markets, futures and clearing. After the migration in March 2026, ENX launched a power futures contract that is already doing EUR20mln in annualized revenue (for context, FY25 Commodity trading and clearing revenue in total was EUR180mln). Management guidance is for power/Nord Pool to grow at >10% pa near term, but longer-term, Euronext plans to expand outside the Nordics and go head to head with Deutsche Boerse's EEX and ICE for continental power derivatives market **– a ~EUR1-1.5bln revenue TAM.**
- **New listings:** Euronext has a pre-IPO program where they onboard companies years before they come to market, so they say they have good visibility into the pipeline. **The 2026 cohort is the largest and most diversified by region and geography to date – 160 companies with combined revenue of EUR29bln.** ENX amortizes IPO fees over 3-5yrs so the impact of them all coming to market would be spread out, but IPOs also have stronger multiplier effect for ENX than most other exchanges because of its vertically integrated model. A new IPO brings in an initial IPO fee, annual listing fees, incremental cash trading, clearing and settlement fees, annual recurring custody fees, increased market data and an opportunity to cross sell more corporate or issuer services.
- ENX sees **Fixed income derivatives** as a huge opportunity for them long term. Right now it is very focused on the retail investor (in line with EU Savings and Investment Union goals to help households move savings into capital markets/investment products), and recently launched a suite of mini futures on main European government bonds (10yr OATs, Bund, Bono and BTPs) designed for that market[1], but longer term it is very well positioned to take share in the wholesale market too (currently dominated by DB1's Eurex). Euronext thinks it can grow very fast in fixed income – both retail and institutional - and when I asked Deutsche Boerse about the threat of Euronext taking share from them, he said the reality is that Euronext is 'so tiny that even if they grew $20mln, it doesn't matter to us'. EUR20mln is nothing for DB but would add over 1% organic growth to Euronext's top-line – highlighting the long runway for growth. The DB CFO also added that the overall end market growth was so strong, he was confident in its growth regardless.
- **New retail products** – Euronext is best positioned to benefit from any increase in retail trading, with a specific set of products targeted directly at retail e.g. offers a best of book execution service for retail brokers, offers direct retail distribution to retail for IPOs and secondaries in France and Italy, offering discounted pricing for data services to retail investors.

Industry Changes

Increasing debt issuance:

Increased issuance coming from EU massive spending programs – ReArm Europe, German fiscal expansion (debt-brake reform), refinancing the 2020-2021 wall at higher yields, EU/supranational growth (debt issuance at EC level). MTS is a leading EGB cash/repo venue (number one in Italy).

Post-trade landscape changing:

Historically there has been very little change or innovation in European post-trade. This is changing for a few reasons:

- European regulatory pressure to reduce fragmentation – there are 27 different CSDs in Europe vs. one in the US (DTCC- industry owned) and in Canada (CDSX – owned by TMX) European CSDs (domestic record keepers and securities settlement venues)
- Increased adoption of digital assets – as the infrastructure that historically stores physical share certificates and is the core record keeper and settler of securities, CSDs play a key role in facilitating tokenization inside the traditional financial system.
- Euronext itself is disrupting it by actively trying to take market share from incumbents with better technology and lower costs. Post the Italy and Greek acquisitions, Euronext is the number 3 CSD in Europe and has a clear plan to expand into other regions, starting with France, Belgium and Amsterdam in 2026.

Regulatory support to make EU capital markets more attractive to list:

Simplifying regulations – for e.g. EU listings. The main parts of the Listing Act became operational in March and June 2026. This includes significantly streamlined prospectus requirements and the standardisation of follow-on issuance rules, allowing listed companies to raise secondary capital almost as quickly as their US peers.

Reducing fragmentation – aside from call to consolidate CSDs, it also supports national exchange consolidation. EC and national politicians have supported the idea of a single pan-European exchange, and as the only pan-European platform with a cash equity focus, Euronext has support to be the consolidator.

Signs that retail participation in European equity markets is picking up, driven by a number of factors:

1 - policy measures by EU governments and regulators to encourage European households to move some of the >EUR13tln in household savings sitting in back deposits into higher yielding assets and help fund very large planned infrastructure, energy transition and defence programs.

Efforts to do this include the rollout of tax-efficient Savings and Investment Accounts (SIAs) and reforming the Pension Equity Pension Product (PEPP) to allow retail investors to invest directly in listed instruments.

Germany's Pension Reform Act (starting 2027) is also being considered in other EU countries – introduces state-subsized flexible retirement savings accounts to encourage more investments in stocks, etfs and mutual funds.

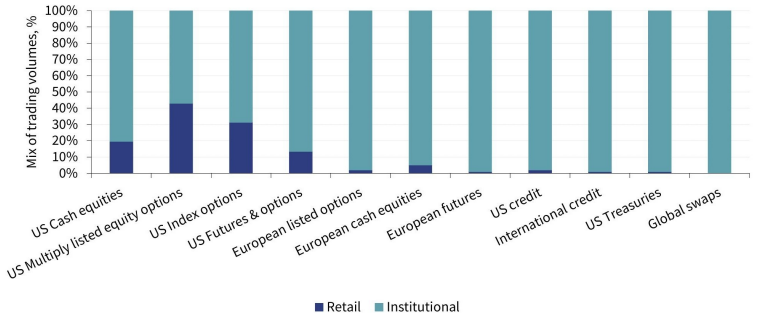
1. **growth in neo-brokers and zero commission trading**

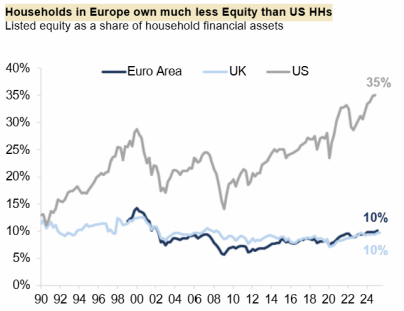
3. greater need for individuals to manage more of their own pension plans.

Lots of separate data available that I will add to appendix

Any narrowing of the gap between EU and US retail participation would be a very positive tailwind for the European exchanges:

Fig 14: Estimated retail penetration of market trading volumes in the US and Europe, 2025





Growth in European power trading volume:

There has been a structural shift in European power markets since the Russia/Ukraine crisis.

It triggered new demand for powers and different hedging contracts, but more importantly for the exchanges, the majority of trading flows moved from bi-lateral OTC deals to clearing on exchange because of the increased counterparty risk.

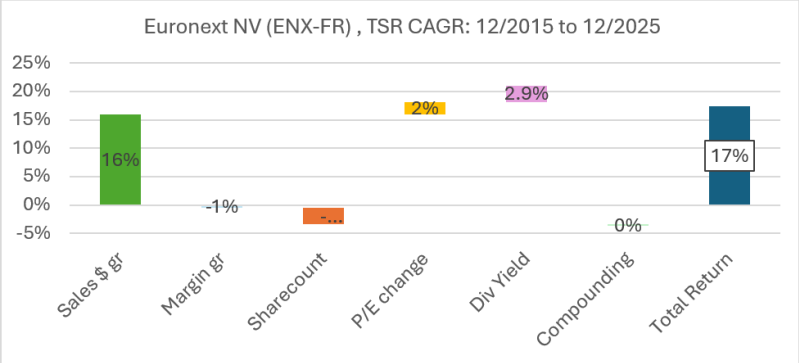
Volumes on exchange went from ~40% of total transaction pre-2022 to ~80% today, and the volume hasn't returned back to OTC. The increased liquidity in the power markets has attracted financial players – where penetration has historically been low.

Deutsche Boerse is the world's largest power exchange and is seeing a doubling of members in 2025. *"We have an ever-growing community of trading participants. And with every new participant, there are new trading opportunities for all existing ones," Reitz said. "The growth in new members is fueled by decentralized production that brings in new players, especially renewable generators that are not only using our short-term market, but also hedge in the futures markets. There are new segments, such as batteries."*

"We still see an inflow from the algo trading, high-frequency trading, and now that the liquidity has reached a certain level, it becomes attractive for them to apply those strategies in the power market," Reitz said, noting that only the German market has a churn rate needed by algo traders."

TSR Attribution 2015 - 2025

Sales growth – organic and M&A – was a key growth driver over the last decade. Margins were a drag as ENX invested heavily in technology to build an internal trading platform, but this cost is now starting fall off, improving future operating leverage.



TSR 2025 - 2031

Organic revenue growth: Main source of value creation from 2026-2031. Sources of organic growth include post trade market share gains, HSD growth in fixed income trading and clearing, new product launches, new IPOs from the IPO pipeline etc.

Margin expansion: Euronext expects is current cost run-rate of EUR770mln is elevated due to one time investments and expected to come down over time, so we should see margins expand as revenue grows. Capex/depre is also coming downENX is capital light with >100% FCF conversion so we should expect to FCF margins grow faster than EBIT margins.

Capital allocation – targeting 1-2x ND/EBITDA and currently at the low end. The European Commission is very supportive of large scale consolidation, and Euronext has built its platform to easily integrate M&A, so faster consolidation/execution on its large pipeline of potential acquisitions would be upside.

ENX is a natural acquirer of more national exchanges like Greece and offers a strong value proposition for the seller.

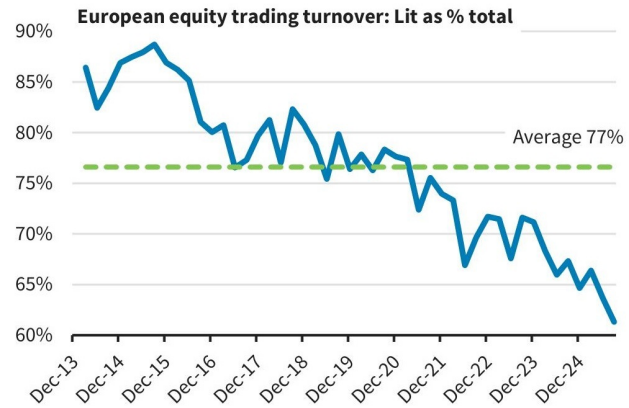
Pre-mortem

Cash equities are in structural decline/share losses to US/dark pools and on-chain exchanges accelerates:

The organic growth idea doesn't rely on cash equities growing, but a structural decline in new listings and trading volume had knock-on effects across the business. The multipler effect that helps ENX grow works in a negative way too. Fewer new listings means less associated revenue across the value chain, less trading activity means less liquidity, leading to even less trading as market participants look to other exchanges etc. It would be a long term headwind to growth, but also to the multiple.

The risk here is reduced by a) current industry trends actually favouring structural growth in equities vs. decline, and 2) growth in fixed income/power is very strong, with a massive TAM for ENX to take. There are clear signs ENX is already disrupting these markets (D2C Bondvisions, Nordpool futures etc). There is also a large inorganic opportunity for them that should offset some of the decline in revenue related to cash equities.

On share losses to dark pools and ATS, ENX believes we are at a point where things are stabilizing and the discussion with regulators is about the risk to price integrity if more volumes move off lit exchanges.



Euronext management says the regulators now think we might be at the point where it has gone too far, because it is starting to threaten the price integrity of the primary exchange – this is something we are watching but it looks stable for now.

Long term risks from tokenization:

This will take a while to play out if it happens and we have several calls set up with experts and management to quantify the downside risk.

1. Tokenized debt offerings could reduce the need to post collateral at the clearing house and therefore reduce the interest ENX earns on that collateral
2. Tokenized securities could remove the need for settlement and custody, though the trend among institutions and regulated entities is to create a digital twin of the security in a tokenized form so

Deutsche Boerse looks to be further ahead of Euronext with their digital strategy, most recently announcing a EUR200mln investment in Kraken and a partnership with stablecoin issuer Circle. It also has a JV with Commerzbank called 360x which is a secondary trading venue for tokenized assets[1].

Clearing house risk:

Since bringing the clearing function in-house, Euronext has taken on more risk associated with owning a Clearing House. If a clearing member defaults, the waterfall structure of the CCP protects Euronext, but it is not completely immune. See appendix for more detail.

As of September 2025, Euronext's total CCP clearing business assets amounted to €357.7bn (see first table below. The theoretical maximum would be the difference of total cleared positions and total collateral buffers. However, there are clearly offsetting assets on the other side of the balance sheet, and the historic examples of large defaults such as Lehman Brothers (only 35% of its margin was used to cover losses at LCH, there were no other losses) show that the losses have been very limited.

unaudited, in € million	**As of 30/09/2025**
CCP clearing business assets	
CCP trading assets at fair value	168,335.0
Assets under repurchase transactions	164,570.3
Other financial assets traded but not yet settled	51.4
Debt instruments at fair value through other comprehensive income	28.0
Other instruments held at fair value	104.8
Other receivables from clearing members	7,663.7
Cash and cash equivalents of clearing members	16,958.4
Total assets	**357,711.6**
CCP clearing business liabilities	
CCP trading liabilities at fair value	168,335.0
Liabilities under repurchase transactions	164,570.3
Other financial liabilities traded but not yet settled	51.4
Other payables to clearing members	24,772.0
Total liabilities	**357,728.7**

In the vast majority of defaults, the initial margin and the variation margin which have been posted by the Clearing member have been more than sufficient to cover any losses.

There have only been three examples of CCP failures during the past 50 years:

- Caisse de Liquidation des Affaires et Marchandises (1974) – details here.
- Kuala Lumpur Commodity Clearing House (1983)
- Hong Kong Futures Guarantee Corporation (1987)

Value destructive M&A:

Euronext is very open about its willingness to do M&A. Track record is very strong and according to RJ, most deals fail because of poor execution or speculative revenue synergies. ENX built its technology to position itself as an acquirer and easily consolidate smaller domestic markets with low execution risk.

Key attributes of successful exchange acquisitions include substantial and achievable expense synergies, highly logical and quantifiable revenue synergy opportunities, and strong integratic efforts. The biggest M&A failures seemed to fall victim to speculative revenue synergy opportunities and/or poor integration.

Best Exchange M&A

Rank	Buyer	Target	Announce Date	EV ($B)	EV / LTM EBITDA	Explanation
1	Intercontinental Exchange	New York Board of Trade	9/15/2006	1.1	34.1x	ICE's acquisition of NYBOT diversified its futures franchise into soft commodities. Even more importantly, however, the deal allowed ICE to generate substantial revenue synergies by self-clearing its trades, enhancing ICE's competitive moat by eliminating ICE's dependence on LCH.
2	Chicago Mercantile Exchange	Chicago Board of Trade	10/17/2006	11.0	30.0x	The deal gave CME a dominant position in U.S. interest rate and equity index futures trading, and the expense synergy opportunity was tremendous. The stories around the merger, which included surreptitious steakhouse dinners and a bidding war with ICE, were almost as good as the deal.
3	Bats Global Markets	Chi-X Europe	2/18/2011	0.3	117.3x	The acquisition allowed BATS to achieve much-needed scale and diversification. BATS re-used the playbook a couple years later to purchase Direct Edge. Targeted synergies were a whopping 64% of Chi-X's direct cost base.

Source: Refinitiv, Raymond James research.

Worst Exchange M&A

Rank	Buyer	Target	Announce Date	EV ($B)	EV / LTM EBITDA	Explanation
1	NYSE	Euronext	5/22/2006	12.3	21.2x	Poor integration efforts, a lack of depth to the strategic vision, and a challenging backdrop for equity exchanges caused this deal to be a flop; it was largely unwound after ICE bought NYSE Euronext. NYSE CEO John Thain quickly jumped ship to Merrill Lynch in 2007, a move he likely later regretted.
2	NASDAQ OMX	eSpeed	4/1/2013	1.2	17.9x	In its ongoing search to diversify, Nasdaq acquired the U.S. Treasuries trading platform eSpeed from BGC Partners. eSpeed bled market share under Nasdaq's ownership and was later sold to Tradeweb for $190 million. The worst part, however, was a portion of the payment to BGC was in Nasdaq shares which ultimately grew to more than $1 billion in value before BGC sold them.
3	CME Group	NEX Group	3/29/2018	5.8	21.7x	While CME achieved its targeted expense synergies, the hoped-for revenue synergies from offering both cash and futures market trading in rates and FX have never really come to fruition. Meanwhile, revenue on NEX's EBS and BrokerTec platforms has trended lower, from $383 million in 2019 to $277 million in 2024 (~$293 million ex-accounting changes).

Source: Refinitiv, Raymond James research.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise do not hold a material investment in the issuer's securities.

Catalyst

Announcement from global custodian that they are switching from Euroclear to Euronext Securities (could happen any time over the next two years)

Announcement from French government that they will move OAT issuance to MTS, Euronext's bond trading platform

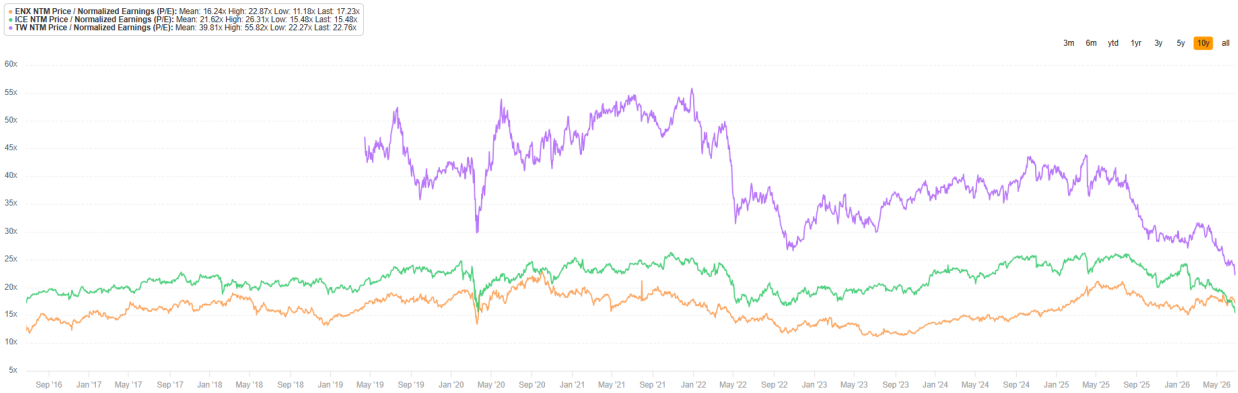
Some of the >$10tn of European investments in US equity markets moves back to europe

Messages

Subject vs peers?
Entry 06/29/2026 02:30 PM
Member gtwt

Upvoted, and appreciate the thesis.

However, why own Euronext here that has barely derated and is delivering HSD-low-teens EPS growth versus say ICE that used to trade at a premium but is now cheaper and growing in low-teens (even before the mortgage volumes pickup optionality) or, better yet, TW that's derated a lot and is now close to those two but is growing earnings at 15%+ organically?



Subject CME
Entry 06/29/2026 07:27 PM
Member jgalt

Same q, but with CME. 18.5x ttm EPS, 5.1% div yield, 16.7x fwd.

Also, could you tell us what you think the IRR from here is on Euronext? Seems like 12.5% until 2030 from what you wrote? Don't you get a higher IRR on CME from here from EPS growth + dividend yield without a re-rating?

Any thoughts on why TCI invested in DB1 vs ICE or CME, which they previously owned?

Finally, you indicated you do NOT own any shares in this? Why post it?

Subject Re: vs peers?
Entry 06/29/2026 08:24 PM
Member Rtg123

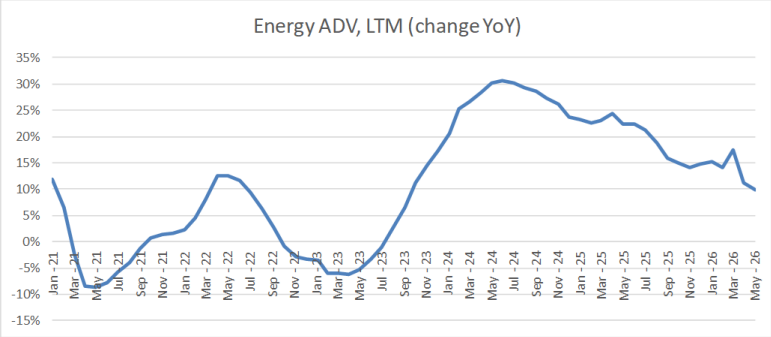
Agree, ICE seems like the one to own right now. COO spoke at a conference in early June about perps. They made a good case that trading things like spot oil isn't really core to their biz and is mostly done by retail. Institutions use lots of different types of futures/spreads to actually run their business that perps do nothing to solve. And if thats wrong, ICE will issue perps themselves and they will almost certainly be the go-to as they have all the institutional relationships and tech in place.

I get sense people are extrapolating what prediction markets did to FLUT/DKNG and thinking exchanges are next. I strongly disagree with that view.

Subject Re: Re: vs peers?
Entry 06/29/2026 08:51 PM
Member gtwt

Rtg123, agree the disruption fears seem ungrounded (half of my investable universe is subject to them these days anyway), but curious how you think about the following:

1) among the bull arguments I've heard is that Energy trading has entered a multi-year supercycle rather than a series of one-off spikes, supporting a stronger earnings trajectory. This does not seem to be the case so far - ADV keep decelerating, and after the war-related Q1 spike, Q2 has already decelerated sequentially (and as an aside, prob harder for the stock to work against decelerating volumes - I appreciate this is a ST setup probably offset by low valuation at an entry point)



2) everyone is bullish about the mortgage business pickup, and ICE's acqusition track record so far has been great. but let's face it, this is a completely unrelated business. so (i) shouldn't this justify a discount to peers like the one RELX has vs Info Services pure-plays and (ii) what if this is not such a great business for some reason? After all, FICO reported a pick up in origination volumes last Q while ICE's stayed anemic (I appreciate I may not be understanding the intricate differences in drivers here though)

Separately, I wonder if you have a view on TW and/or why ICE vs TW. The latter is a pure-play, single-product business (I tend to like simplicity). They stopped gaining share in the profitable Corporate Credit, which sucks, particularly against all the product investments, and explains some of the multiple compression, but still are growing with the market nicely, and I wonder if share gains could resume.

Subject Re: Re: Re: vs peers?
Entry 06/29/2026 11:54 PM
Member gocanucks97

not to hijack the thread, i am also looking at TW (and MKTX).

"They stopped gaining share in the profitable Corporate Credit"

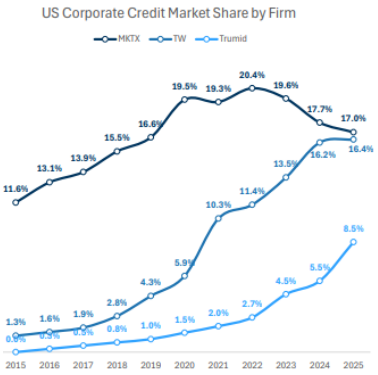
do you think TW can see multiple expansion without them re-gaining share in corporates? recent mgmt commentary does not really sound optimistic.

on the flip side, is MKTX too cheap down here, esp. if relative market share is getting better?

Subject Re: Re: Re: Re: vs peers?
Entry 06/30/2026 09:53 AM
Member gtwt

gocanucks97, I am frankly not the smartest person on TW/MKTX so would rather hear other people's thoughts. That said, there is a good upgrade note by GS this morning answering a few of your qs directly: the multiple is too low and should expand to mid-20s (ex cash that is now 8% of mcap), growth is still industry-leading due to market volumes, and some modest share gains in Credit are still possible (quoting: *"we see room for TW to accelerate market share* [in Credit] *on the back of several factors: 1) the firm's market share in Portfolio Trading has stabilized in mid-40% - a protocol that we think will remain a big driver of electronic credit volumes for the industry broadly (amid continued buyside adoption, and strength in industry fixed income ETF complex); 2) the backdrop for large banks (an important customer segment for TW) has been strengthening, with corporate bond inventory starting to rise after post-GFC years of declines and less restrictive capital requirements potentially enabling the banks to be more active in corporate credit; 3) TW has been making progress on the institutional RFQ side, with much of the revenue pool here still concentrated at MKTX; and 4) longer-term opportunity in EM Credit. Collectively, we expect these dynamics to drive an acceleration in TW's Cash Credit revenue growth to >10% into 2027 and beyond."*)

I think the biggest source of upside would be them acquiring Trumid?..



The more I think about it, the more I like TW over ICE here.

Re MKTX - no, it's hopeless, I've been hearing the argument "now it's just too cheap" for years and it's been only losing more share and going down.

Subject Re: CME
Entry 07/09/2026 10:52 AM
Member afgtt2008

The HSD, low teens EPS is what ENX can do in a scenario where it gets no help from European cash equity trading volume. It is easier to underwrite the idea based on what it can do ex-cash equities, and then assign whatever probability you want to the upside where the EU succeeds in increasing household/retail participation or European domestic pension funds/asset managers bring more flows back home.
All that will come on top of the HSD earnings growth, and should help the multiple too. So we should do better than HSD if it all plays out but it's a call option.

The biggest contributor to EPS growth from now to 2030 in the base case is share gains in post-trade. This is hard to forecast by quarter, but will eventually happen - there is no proxy for how long it takes for CSD share shifts to happen because there aren't many cases of a disruptive new entrant, but ENX is being aggressive in how they're targetting issuers (slow and incremental) and global custodians (potentially trillions in AuC overnight). Changing market structure should act as an added catalyst for custodians that are slow to act - 24/7 trading, tokenization, growth in digital assets all need a modern tech stack and most of the domestic CSDs in europe haven't invested in tech in 20yrs. High margin, predictable recurring revenue.

Part of the reason they haven't re-rated as much is because the growth in non-trading revenue has come from post-trade. Most exchanges have invested to diversify from pure trading revenue, but most went into the types of businesses that are getting crushed on AI fears now.
ENX is basically recapturing fees on trading they already own, so it's very low risk. Once they do that, they plan to consolidate CSDs across Europe, so it has a decent runway for growth organically and inorganically. The opportunity only exists because they invested on becoming vertically integrated - US exchanges don't really have that because the DTCC is the CSD.

On DB1 and ICE, I agree with the industry volume tailwinds on both. ENX owns NordPool power futures and it is growing like a weed because of all the growth in that market. MTS is probably as well positioned as Eurex for increased bond issuance in Europe - key is that these are massive markets and it takes very little to move the needle for ENX.
ICE is probably underearning on the mortgage side but I have no view on mortgage origination.

On perps, no unique view either. Listening to Selig speak, it does sound like they are open to having perp-style products on equity indices, so it looks most negative for CBOE's 0DTE business and CME's retail trading business (and interest income on collateral). For now it's less of a threat in Europe because of the different rules - perps fall under the same regulation as CFDs, so they have tighter leverage limits etc. and it's harder for an offshore competitor to come in to regulated space. Retail trading and derivatives both are tiny businesses for ENX anyway, so not a headwind even if perps do end up replacing futures as the primary way for institutionals to hedge.

On prediction markets - again no strong view, but it might end up being an opportunity vs a threat if betting on financial markets takes off. CBOE is just using plain vanilla yes/no options and structuring them in different ways so that the retail platforms can market them to the customer whatever way they want. On the app, the product can be sold as all sorts of different bets, but on the backend, it is just option trading on traditional financial rails - so increased trading volumes for CBOE. ENX and DB1 can easily do the same if they need to.

Subject Re: Re: Re: Re: Re: vs peers?
Entry 07/30/2026 09:09 AM
Member gtwt

*ICE TO BUY MARKETAXESS FOR $167/SHR IN CASH

Could be a great move in itself, but in the context of recent deals feels like empire building?..

Subject Re: Re: Re: Re: Re: Re: vs peers?

Entry 07/30/2026 11:03 AM
Member Fat_Tony

ICE is literally Sprecher's empire...

2007 bought NYBOT $1.1bn

2008 bought Creditex $625m

2010 bought Climate Exchange $597m

2013 bought NYSE $8.2bn

2015 bought IDC $5.2bn

2020 bought Ellie Mae $11bn

2023 bought BKFS $11.9bn

2026 buying MKTX $6.0bn

*

One of the most successful empire builders of all time. And not in the pejorative sense. All starting with the purchase of Continental Power for $1 in 1997.

MKTX is par for the course!

Subject Re: Re: Re: Re: Re: Re: Re: vs peers?
Entry 07/30/2026 11:59 AM
Member gtwt

So far, undeniably. But lots of debt for the $20+ B mortgage business acquisition with unclear returns so far. Guess could change quickly in a better mortgage market. And now spending even more on a losing asset that - I don' think - will benefit meaningfully from being a part of ICE other than some data synergies (and actually could lose more market share during the integration phase). Not trying to sound smarta** contrarian just trying to understand why everyone likes ICE 2.0 (w mortgage and now MKTX).

Subject Re: Re: Re: Re: Re: Re: Re: Re: vs peers?
Entry 07/30/2026 01:54 PM
Member Fat_Tony

I didn't intend to imply that MKTX is a good deal for ICE. Nor ELLI/BKFS. In fact, IMO, ICE 2.0 is not well-liked by the mkt (see stock perf of ICE vs CBOE/NDAQ/CME since ELLI).

Rather, it was just to point out that "empire building" is the entire raison d'être, of ICE.